

life made me stop investing for the next 10 years. Not only did I stop investing, I kept withdrawing from my PPF account regularly to meet my family's needs, till I was finally enlightened 12 years later, around the year 2007, on the importance of financial independence and the power of compounding.

That small step has shaped my financial independence goals of today.

A PPF account can be opened at the local post office or nationalized banks like the State Bank of India. Now, you can open PPF accounts even with private banks like ICICI Bank also. However, remember that you can legally have only one PPF account in your name. Before you go to open your PPF account to leverage the efficiency of returns, make sure you clearly understand the constraints and advantages of investing in such an account.

Limitations of a PPF account

A PPF account has some restrictions as compared to a normal savings account:

- At any stage, if it is found that you have more than one PPF account, then the account opened at a later date would be closed and only the principle amount (not the interest) would be refunded to you.
- You cannot have a joint PPF account, it can only be opened in your name.
- Non Resident Indians (NRIs) earning an income in India can also operate a PPF account. Contributions, however, have to be made from a Non Resident Ordinary (NRO) account.
- There is a minimum lock in period²⁹ of 5 years and none of the invested money can be withdrawn prior to that. Even after the 5th year, a maximum of 50% of the amount invested in Year 1 can be withdrawn. You cannot make more than one withdrawal in a financial year. This does impose constraints on your liquidity if you are a mature investor but in the initial stages of your financial